Supreme Petrochem Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: SPLPETRO · Report prepared 20 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

1 Snapshot

India's largest maker of **polystyrene** — the cheap, common plastic in fridge and air-conditioner parts, food packaging and disposable cups — plus **expandable polystyrene (EPS)**, the white foam used in packaging and insulation, **extruded polystyrene (XPS)** insulation board, and **compounds** (plastic recipes blended to order for appliance and car makers). Its one raw material is **styrene monomer**, a petrochemical liquid India does not produce at all — every kilogram is imported, mostly from the Gulf. So profit is not really a function of how well the company sells. It is the gap (the "delta" or "spread") between the world price of styrene monomer and the world price of polystyrene.

Number	Value	What it means in plain words
Market cap / price	₹13,193 cr / ₹701	52-week range ₹461–₹982: the market has repriced this business by more than 2x inside one year, which tells you the earnings are not stable.
Stock P/E	26.9	₹26.9 paid per rupee of trailing profit — and those twelve months *include two windfall quarters*, so the multiple on normal earnings is far higher.
FY26 sales	₹5,338 cr	Down 11% from ₹6,023 cr in FY25 — the top line shrank, because styrene prices fell and selling prices fell with them.
FY26 operating profit / margin	₹519 cr / 10%	Against ₹907 cr and 18% in FY22. Four years on, barely 57% of FY22's profit on a similar top line. This is the real base rate.
Q1 FY27 revenue	₹1,693 cr, +22% YoY	Looks like strong growth. It is not — see the next two rows.
Q1 FY27 sales volume	70,842 tonnes, −24.5% YoY	The company physically sold a quarter *less* plastic. Revenue rose only because each tonne fetched much more money.
Implied revenue per tonne	₹2.39 lakh vs ₹1.48 lakh	Realisation per tonne up about 62%. Price did all the work; volume worked against it.
Q1 FY27 operating EBITDA / margin	₹331 cr / 19.53%	Up 188%; best margin in five years — and management itself calls it "an aberration". Total EBITDA ₹348 cr (20.3%), net profit ₹236 cr (13.96%).
Balance sheet	Debt-free; surplus ₹463 cr (Dec-25)	Genuinely strong. Book value ₹126, yield 1.50%, ROCE 18.8%, promoters a steady 64.24%. The whole ₹900 cr capex is funded from internal cash, no borrowing.

2 Concall coverage

Quarter	Call date	Transcript read?	Note
Q3 FY24 · Q4 FY24	Jan 2024 · May 2024	Yes (both)	Spreads called "maintainable"; then the FY22–23 windfall called "an aberration"
Q1 FY25 · Q2 FY25	Jul 2024 · Oct 2024	Yes (both)	8–10% volume growth guidance; ABS phase 1 promised by Mar 2025
Q3 FY25 · Q4 FY25	Jan 2025 · Apr 2025	Yes (both)	Margin guidance refused — "determined by global deltas"; FY25 utilisation 79%
Q1 FY26 · Q2 FY26	Jul 2025 · Oct 2025	Yes (both)	Margin trough begins; ABS finally in production, its volume guidance cut

Q3 FY26	Jan 2026	Yes	Worst quarter (5% margin); ABS plant breaks down
Q4 FY26 / FY26	Apr–May 2026	**No — gap**	**Not available.** This is the quarter margin jumped from 5% to 16% — the turn is unexplained in management's own words.
Q1 FY27	**29 Jul 2026**	**Yes — in full**	Read in full — opening remarks and all 13 pages of Q&A

Screener.in lists 24 concalls. **16 transcripts were obtained and read**, covering the last three years continuously except the Q4 FY26 call. Q1 FY27 (held 29 July 2026, transcript filed 4 August 2026) is covered in full. Mr Rakesh Nayyar, Executive Director & CFO, speaks for the company on every one of these calls — the same voice throughout, which makes the promised-versus-delivered comparison below a fair one.

Latest concall highlights — Q1 FY27 (call 29 July 2026)

- **The profit explosion is a raw-material spread windfall, not a better business.** Revenue +22%, operating EBITDA +188%, margin 19.53% — while **volumes fell 24.5%** to 70,842 tonnes. Management's own sentence: *"Wider delta in the international markets between Styrene Monomer and downstream products have benefitted the results."* The gap between what styrene monomer costs and what polystyrene sells for widened worldwide because war in West Asia shut supply; Supreme simply banked the difference on the tonnes it did sell.
- **Management said so itself, unprompted, and quantified it.** Asked whether 19% margins are sustainable: *"This margin which has come in, is like an aberration because the global deltas were very-very strong."* Normal spread for GPPS (general-purpose polystyrene) is about USD 200 per tonne; it went above USD 300. For HIPS (high-impact polystyrene) the normal USD 275–300 went above USD 400. By the date of the call the spreads had already fallen back to roughly USD 250–275 and USD 350. The windfall was already shrinking while the results were being presented.
- **Why volumes collapsed — five separate reasons, none of them the company's doing.** Shipping through the Strait of Hormuz was interrupted, so exports were *"barely around 10.12% of what we normally export in a quarter"*; all three styrene plants in the Gulf that traditionally supply the company suspended operations for safety; freight rates and voyage times jumped; sales to non-OEM customers (small converters, as against appliance makers) fell *"almost close to 50%"* on price resistance; and India temporarily suspended import duty on commodity polymers for three and a half months, letting roughly 20,000 tonnes of imported polystyrene take domestic market share.
- **Appliance demand held; the small-buyer market cracked and is now returning.** OEM demand was *"good... stable"*; the non-OEM segment *"have reconciled to the increased prices... the demand from the non-OEMs is back into the market now."* No volume guidance was given: *"I would not like to hazard any guess."*
- **The expansion programme is real and got bigger.** Phase 2 of EPS capacity is finally complete (nameplate about 1,43,000 tonnes). Newly started: a 1,50,000 cubic metre wide-width XPS insulation board line and compounding capacity from 50,000 to 80,000 tonnes a year, both due June 2027. The board approved a **fifth polystyrene line of 80,000 tonnes a year at Amdoshi, taking total polystyrene capacity from 3,00,000 to 3,80,000 tonnes a year** by December 2028. Total capex *"closer to 900 crores"*, all from internal cash, expected asset turn about 2x.
- **The blunt exchange of the call.** An investor noted the industry de-grew and asked what justifies adding capacity. Reply: *"A project is not set up for the temporary events of one quarter."* Correct — and it cuts the other way too, which is exactly why one quarter of 19.5% margins should not be capitalised either.

2c Business mix & capacity

Product mix (of manufactured sales, management's own split, unchanged for two years): polystyrene about two-thirds · EPS about one-quarter · XPS and compounds about 10%. Within polystyrene, value-added grades are **40–42%** of sales and go mostly to appliance makers.
Capacity: polystyrene 3,00,000 tonnes/year going to **3,80,000** by Dec 2028 · EPS nameplate about 1,43,000 tonnes (effective 1,30,000–1,35,000) · mass ABS 70,000 tonnes commissioned, terminal nameplate 1,40,000 after line 2 · compounds 50,000 → 80,000 tonnes by June 2027 · new XPS wide-width board 1,50,000 cubic metres by June 2027. All new capacity on stream by March 2029.
Utilisation: FY25 all products 79% · polystyrene alone about 90% at peak season · XPS only 70% (Jan 2026) · Q3 FY26 80% excluding ABS. Management says roughly **20% cushion** remains in existing capacity.
Domestic versus export share: NOT DISCLOSED. Asked directly for the split, management said plainly: *"we are not bifurcating*

our export or domestic revenue." What can be pieced together is that exports are small and shrinking — 7,990 tonnes in Q1 FY25 against 11,370 a year earlier, 17,111 tonnes in H1 FY25 against 24,184 — and in Q1 FY27 they were about a tenth of normal. Call it under 10% of volume and currently near zero. **Trading sales (bought-in material resold, not manufactured) are also not broken out in the accounts** but management put them at **17–18% of the top line** in Q1 FY27 and about 20% a year earlier — which means the eye-catching EBITDA-per-tonne figures below are flattered, because the denominator counts only manufactured tonnes.

The single clearest picture — operating profit per manufactured tonne. Q1 FY25: ₹161 cr on 93,323 t = about **₹17,300** a tonne, a normal-ish quarter. Q1 FY26: ₹115 cr on 93,853 t = about **₹12,300** — same volume, a third less profit, spreads narrowing. Q3 FY26: ₹69 cr on 91,265 t = about **₹7,600**, the trough — volume was *fine*; the spread had gone. Q1 FY27: ₹331 cr on 70,842 t = about **₹46,700** — six times the trough, on a quarter fewer tonnes. Nothing inside a plastics factory improves six-fold in four quarters. That is the international price gap arriving as profit.

3 Earning-trigger thesis

Is there a durable earning trigger?

Yes, but it is not the one the numbers are shouting about. Strip out the spread and this is a company with roughly ₹7,600–17,300 of operating profit per tonne, about 3.5 lakh tonnes of annual volume, 79–80% utilisation and no debt, that is spending ₹900 crore of its own cash to add about 27% more polystyrene capacity, 60% more compounding capacity, a second ABS line and a new insulation-board line — all by March 2029, at an expected asset turn of about 2x. That is the durable trigger: **more tonnes, in higher-value form, sold into a market where India imports and the government has just demonstrated it will flex duties.** The temporary trigger — the styrene spread — is worth more money today than the durable one will be worth for years, and it will be gone first. Anyone valuing the stock off Q1 FY27 is paying a growth multiple for a war premium.

Trigger	What management said	Evidence so far	Time horizon	Strength
Styrene–polystyrene spread (temporary)	"Wider delta... have benefitted the results"; "this margin... is like an aberration"; "if global deltas are weak or they are back to the normal, it will be the normal margins for us"	Margin 5% (Dec-25) → 16% (Mar-26) → 19.5% (Jun-26). GPPS spread USD 200 normal, peaked above 300, **already back to 250–275 by the call date**; HIPS 400+ back to about 350	1–3 quarters, decaying now	**Temporary**
Polystyrene capacity 3.0 → 3.8 lakh tonnes	Board approved fifth line, 80,000 tpa at Amdoshi, complete Dec 2028; "the demand growth is what is leading us to build additional capacity now"	Board approval is real and dated. Nothing built yet. Existing plants run 90% in peak season, so the need is credible	Dec 2028 onwards	**Durable**
Compounds and ABS — the value-added shift	50,000 → 80,000 tonnes by June 2027; "we are now moving more towards the ABS compounds"; ABS terminal capacity 1,40,000 tonnes	Genuinely better margin work and Supreme's ABS is unusually white, which converters like. **But** the 70,000-tonne ABS plant was 9 months late, ran two months, then broke in Dec 2025 — and the Q1 FY27 call gave no restart update	FY27–FY29	**Medium**
Import substitution / duty protection	Duty waiver "led to unnecessarily increased imports resulting in erosion of market share for domestic producers"; imports about 20,000 t in the quarter, about 87,000 t last year	Two-way: duties returned from 1 April, which helps. But it proves policy can be switched off overnight, and the same government waiver is what cost them share	Policy-dependent	**Medium**
	"demand in India will grow, particularly with regard to the	Indian EPS market is only about 1,60,000 t/year and management	3–5 years	**Weak**

EPS — insulation, cold chain, Europe exports	energy efficient buildings for cold storages, cold supply chain, and construction"; "Our grades have also been approved in Europe"	admitted in Oct 2025 there is **"an excess capacity of EPS today. Because of that, the margins here have got squeezed"**. XPS runs at 70%. Europe grades are approved but not shipping — freight and the Red Sea have stalled it

4 Management consistency scorecard

Period	Promised	What happened	Verdict
Jan 2024	Spreads have bottomed: "these deltas are maintainable and when the demand grows the delta will also improve"	They did not. Operating margin went 12% (FY23) → 9% → 9% → 10%, bottoming at **5% in Dec 2025**. Two years of being wrong on the one variable that decides the P&L	**No**
May 2024	FY22–FY23 super-profits were "an aberration because the global deltas were very high"; FY24 EBITDA per tonne is the sustainable figure	**Honest and correct.** FY24's ₹473 cr operating profit did prove to be roughly the base. The same word, "aberration", is now used for the *upside* in Q1 FY27 — consistent in both directions	**Yes**
Jul 2024 → Apr 2025	FY25 volume growth of 8–10%; "we should be doing around 350,000 tonnes this year"	Delivered **9.4%** growth on manufactured product sales, roughly 3.56 lakh tonnes. Guidance met, and it was given conservatively	**Yes**
Jan 2024 → Jul 2026	**EPS phase 2:** "completed by December of this year [2024]" (Jan-24); "by end of this calendar or last quarter of this financial year" (Jul-24); "as per schedule... on stream by end of Q1 FY26 or Q2" (Apr-25); "February or by March [2026]" (Jan-26)	Declared complete only on the **Q1 FY27 call, July 2026**. Roughly **18 months late**, with the date reset four separate times, twice while being described as "as per schedule"	**No**
May 2024 → Jan 2026	**Mass ABS phase 1 (70,000 tpa, ₹850 cr):** mechanically complete Dec 2024, commercial in Q4 FY25 → "by March 2025" → "commissioning Q1 FY26" → "mechanically complete by May 2025" → "commercial operations in this current quarter"	Production finally started **September 2025**, about 9 months late. It ran October and November, then **operations were suspended in December 2025 due to malfunctioning of a critical production equipment** — proprietary, no drawings on site, European engineers delayed by Christmas and visas. FY26 volume guidance had already been cut from 20,000–25,000 tonnes to "maybe 15,000 tons or so" before the breakdown. The Q1 FY27 call, seven months later, carried no restart update at all, and the Q4 FY26 transcript that might have had it is not available	**No**
Jan 2025 & Jul 2026	Refused to guide on margins or spreads — "the base spreads are all determined by the global deltas... very difficult to predict"; "I would not like to hazard any guess"	Held that line for six straight quarters, through the trough **and** the windfall. Never once promised a margin it could not control	**Yes**
Oct 2024 → Jan 2026	**Haryana / Panipat project** (₹800 cr, revenue potential about ₹2,200 cr): land bought, clearances under way, "another six to eight months before we can really start"; Jan-26 — "the focus remains on the Haryana project only and the Phase 2 of ABS"	Twenty-two months after "six to eight months", nothing has been produced. **It was not mentioned once on the Q1 FY27 call** — not in the opening remarks, not in the ₹900 crore capex list, not in any answer. A flagship project has quietly dropped out of the narrative	**No**
Jan 2026 → Jul 2026	Capex of "₹250 crores to ₹275 crores in the coming year", at Chennai, Amdoshi and Panipat	Six months later the programme is "closer to 900 crores" — a scale-up, not a broken promise, but note the opening remarks put "the above projects" at **₹450 crores** and	**Partly**

the Q&A put total capex at **₹900 crores** on the same call, without reconciling the two

Narrative drift. There is drift, and it is not the usual kind. The *story about margins* has not drifted at all — this management's strongest feature. In May 2024 they called a profit boom "an aberration" caused by global deltas; in July 2026, with a 19.5% margin in hand and every incentive to claim credit, the CFO used the identical word for the identical reason and volunteered the exact spread numbers showing it had already faded. Set that against the industry norm of rebranding a commodity windfall as "operating leverage" or "premiumisation": **they have never once claimed the spread gains were structural.** The drift is in *projects*. EPS phase 2 slid 18 months while being called on schedule; mass ABS slid nine months and then physically broke; the Haryana growth centre — two years of commentary, ₹800 crore, "₹2,200 crore revenue potential", PS sheeting, 3D panels — has evaporated from the script without a word of explanation, replaced by a shinier ₹900 crore list dominated by a polystyrene line that cannot earn a rupee before December 2028. The pattern: candid about what it cannot control, consistently optimistic about what it can. That is the safer failure mode, but it means every completion date in section 3 should be read with 6–18 months added.

5 Bottom line

EARNING TRIGGER IN Q1 FY27's NUMBERS: NO

The 188% jump in operating profit is a commodity windfall and nothing else. Volumes fell 24.5%. Exports were a tenth of normal. Half the non-OEM customer base stopped buying. Imports took domestic share because the government waived duty. Not one operational metric improved: the company sold less of everything, to fewer people, from fewer supply sources, at higher freight. What changed was a war in West Asia that shut three Gulf styrene plants and blew the gap between raw-material and finished-product prices from about USD 200 to over USD 300 a tonne. Operating profit per manufactured tonne went from about ₹7,600 in December 2025 to about ₹46,700 in June 2026 with no new plant, no new product and no new customer in between; that alone settles it. By the date of the call the spread had already retraced to USD 250–275. Management said the word out loud — "aberration" — and refused to guide. Believe them. There *is* a durable trigger here — ₹900 crore of self-funded capacity taking polystyrene from 3.0 to 3.8 lakh tonnes, compounding from 50,000 to 80,000 tonnes, and a real shift toward higher-value ABS compounds and insulation grades — but almost none of it earns revenue before FY28, and the first tonne from the new polystyrene line is due December 2028. At a 26.9 P/E on trailing profit containing two windfall quarters, the market is paying for the war, not the capex.

MANAGEMENT CONSISTENCY: MIXED — HONEST ON MARGINS, UNRELIABLE ON DATES

The verdict has to be split, because the two halves point in opposite directions and averaging them would mislead. On the thing that actually drives the P&L, this management has been unusually straight for four years: it called the FY22–23 boom an aberration while it was happening, refused to guide on spreads through six quarters of pain, then refused to take credit for the windfall when it arrived — volunteering the precise USD spread numbers proving the gain was already reversing. That is a real and rare consistency credit. On execution the record is poor. EPS phase 2 was promised for December 2024 and delivered in July 2026, its date reset four times, twice while being called "as per schedule". The ₹850 crore mass ABS plant arrived nine months late, ran two months, broke in December 2025 on a proprietary component with no drawings on site, and got no restart update on the following call seven months later. The ₹800 crore Haryana project with its "₹2,200 crore revenue potential" has simply disappeared. So: trust what this management tells you about the market, discount what it tells you about the calendar, and price the ₹900 crore expansion as landing between FY29 and FY30 rather than March 2029. Two disclosures would change the assessment — whether the ABS plant is running, and what happened to Haryana. Neither was offered.